

WRITE-OFF AND ACCOUNT CLOSURE NOTICE

INTERNAL RECORD. THIS DOCUMENT IS NOT SENT TO THE BORROWER. The only page that may ever be sent to a borrower is Annexure A, and only when option C in clause 6 has been chosen and authorised.

1. WHAT THIS DOCUMENT IS

- 1.1** This is the record of a business decision to stop treating a balance as collectable in our books, and of the reasons for it.
- 1.2** **A write-off is an accounting decision. It is not a legal cancellation of the debt.** Writing a balance off does not extinguish it, does not stop the three-year prescription period running, and does not entitle the borrower to a paid-up or clearance letter.
- 1.3** Never tell a borrower that a debt has been "cancelled", "cleared", "settled" or "forgiven" unless option C in clause 6 has been chosen and the Waiver and Release letter in Annexure A has actually been signed and sent. Saying it when it is not true is a misrepresentation, and reporting it to a credit bureau when it is not true is inaccurate data.
- 1.4** This document is filed with the loan. It is never given, shown or read to the borrower.

2. ACCOUNT DETAILS

Item	Detail
Borrower full name	[BORROWER FULL NAME]
Namibian ID number	[ID NUMBER]
Last known physical address	[PHYSICAL ADDRESS]
Last known mobile number	[MOBILE NUMBER]
Last known employer	[EMPLOYER NAME]
Loan reference	[LOAN REFERENCE]
Date the loan agreement was signed	[DD/MM/YYYY]
Date the loan amount was paid out	[DD/MM/YYYY]
Original due date	[DD/MM/YYYY]
Current due date after any signed extension	[DD/MM/YYYY]
Number of signed extension addenda	[NUMBER]
Date of this notice	[DD/MM/YYYY]

3. THE AMOUNT BEING WRITTEN OFF

Figures taken from the ledger as at [DD/MM/YYYY].

Item	Amount
Loan amount paid out	N\$ [AMOUNT]
Loan amount still owing	N\$ [AMOUNT]
Interest, service fee and extension charges still owing	N\$ [AMOUNT]
Default interest still owing	N\$ [AMOUNT]
Less: total payments received over the life of the loan	N\$ [AMOUNT]
TOTAL BALANCE WRITTEN OFF	N\$ [AMOUNT]
Of which loan money never recovered	N\$ [AMOUNT]
Of which charges never collected	N\$ [AMOUNT]
Date of the last payment received	[DD/MM/YYYY]
Date of the last contact of any kind with the borrower	[DD/MM/YYYY]

4. RECOVERY STEPS ALREADY TAKEN

Every line must be completed. Write "not done" where a step was skipped, and say why in clause 5.

Step	Date	Evidence held on file
First arrears reminder sent	[DD/MM/YYYY]	[PROOF REFERENCE]
Further contact attempts made	[DD/MM/YYYY]	[PROOF REFERENCE]
Payment arrangement offered	[DD/MM/YYYY]	[PROOF REFERENCE]
Acknowledgement of Debt signed	[DD/MM/YYYY OR NOT DONE]	[PROOF REFERENCE]
Final Letter of Demand delivered	[DD/MM/YYYY]	[PROOF REFERENCE]
Notice of intention to hand over given	[DD/MM/YYYY]	[PROOF REFERENCE]
Account handed to a debt collector or attorney	[DD/MM/YYYY OR NOT DONE]	[PROOF REFERENCE]
Tracing attempted	[DD/MM/YYYY OR NOT DONE]	[PROOF REFERENCE]
Summons issued and served	[DD/MM/YYYY OR NOT DONE]	[CASE NUMBER]
Judgment obtained	[DD/MM/YYYY OR NOT DONE]	[CASE NUMBER]
Emoluments attachment order obtained	[DD/MM/YYYY OR NOT DONE]	[CASE NUMBER]

5. REASON FOR THE WRITE-OFF

Tick every reason that applies and give the detail.

Reason	Tick	Detail
Borrower cannot be traced	[TICK]	[DETAIL]
Borrower is deceased	[TICK]	[DATE AND PROOF]
Borrower has no income and no attachable assets	[TICK]	[DETAIL]
Cost of further recovery exceeds the balance	[TICK]	[ESTIMATED COST]
Judgment obtained but nothing recovered	[TICK]	[CASE NUMBER]
Debt has prescribed or is about to prescribe	[TICK]	[PRESCRIPTION DATE]
Account was wrongly raised or is genuinely disputed	[TICK]	[DETAIL]
Other	[TICK]	[DETAIL]

6. WHICH DECISION IS BEING MADE — TICK ONE ONLY

Option	What it means	Tick
A	Written off in the books. Recovery continues. The borrower still owes the money and we still pursue it.	[TICK]
B	Written off in the books. Recovery stopped. The borrower still owes the money in law, but we will stop chasing it. The debt is not cancelled.	[TICK]
C	Written off and formally cancelled. The debt is extinguished. The borrower owes nothing and we may never claim it again.	[TICK]

- 6.1 Option A.** The balance leaves the collectable book for accounting purposes only. Reminders, demands and legal steps continue exactly as before. The borrower is told nothing about the write-off, because nothing has changed for the borrower.
- 6.2 Option B.** We stop active collection. The debt survives in law, so the borrower is told nothing, no letter is sent, and no promise is made that the debt has gone away. If the borrower later offers to pay, the payment may be accepted. If our position changes and we wish to resume recovery, we may do so at any time before the debt prescribes, but a fresh letter of demand must be sent first.
- 6.3 Option C.** This is a waiver. It cancels the debt for good and cannot be reversed. It requires the authorisation of the Principal Officer in clause 14, and the Waiver and Release letter in Annexure A must be completed, signed and delivered to the borrower. Once that letter is sent, no payment may be demanded or accepted for this debt.
- 6.4** If in doubt, choose option B. Option C gives away a legal right permanently.

7. PRESCRIPTION — THE THREE-YEAR CLOCK KEEPS RUNNING

- 7.1** Under the Prescription Act 68 of 1969 an ordinary debt in Namibia falls away after three years, counted from the date the debt became due. A write-off does not stop or pause that clock. Only the events in clause 7.3 restart it, and only a judgment extends it to thirty years.

Item	Detail
Date the debt became due	[DD/MM/YYYY]
Last event that interrupted prescription	[EVENT]
Date of that event	[DD/MM/YYYY]
Date this debt prescribes	[DD/MM/YYYY]
Diarised for review on	[DD/MM/YYYY]
Judgment obtained, so the period is thirty years	[YES OR NO]

- 7.2** The prescription date is three years after the later of the date the debt became due and the date of the last interrupting event.
- 7.3** The clock restarts when the borrower expressly or tacitly admits the debt. In practice that means: a payment of any amount, a signed Acknowledgement of Debt, a signed extension addendum, or a written or WhatsApp message in which the borrower admits owing the money. Serving a summons also interrupts the clock, but only if the claim is then pursued to judgment. Keep dated proof of every such event.
- 7.4** A court will not raise prescription on its own — the borrower has to raise it. Our policy is nevertheless **not to demand payment of a debt we know has prescribed**. Do not send reminders or demands on a prescribed debt.

8. CREDIT BUREAU REPORTING

- 8.1** Report the true position. A written-off balance is reported as written off, with the outstanding amount. It is **never** reported as "settled", "paid up" or "paid in full", because it was not paid.
- 8.2** If option C was chosen, report the debt as cancelled by the credit provider, using the bureau's own code for that, with effect from the date of the Annexure A letter.
- 8.3** Record what was submitted:

Bureau	Status submitted	Amount	Date submitted	Submitted by
[BUREAU NAME]	[STATUS]	N\$ [AMOUNT]	[DD/MM/YYYY]	[STAFF FULL NAME]
[BUREAU NAME]	[STATUS]	N\$ [AMOUNT]	[DD/MM/YYYY]	[STAFF FULL NAME]

- 8.4** The borrower may ask a bureau for their own credit profile and may ask for anything incorrect to be corrected. If we reported something incorrect, we correct it free of charge and without delay.

9. CHECKS TO COMPLETE BEFORE CLOSING THE ACCOUNT

Check	Done	Date	By
Debit order mandate cancelled and no further debits will be presented	[TICK]	[DD/MM/YYYY]	[STAFF FULL NAME]
Confirmed we hold no bank card, PIN, original ID, passport or driver's licence for this borrower	[TICK]	[DD/MM/YYYY]	[STAFF FULL NAME]
Any original document held has been returned and signed for	[TICK OR NONE HELD]	[DD/MM/YYYY]	[STAFF FULL NAME]
Automatic reminders switched off in the ledger app	[TICK]	[DD/MM/YYYY]	[STAFF FULL NAME]
Collection contact stopped, if option B or C	[TICK]	[DD/MM/YYYY]	[STAFF FULL NAME]
Debt collector or attorney instructed to stop, if option B or C	[TICK OR NOT APPLICABLE]	[DD/MM/YYYY]	[STAFF FULL NAME]
Complete loan file assembled and stored	[TICK]	[DD/MM/YYYY]	[STAFF FULL NAME]

- 9.1** We must never hold a borrower's bank card, PIN, original Namibian ID, original passport or original driver's licence. Section 23(1)(f) of the Microlending Act 7 of 2018 forbids it. If the check in clause 9 finds that any of these is held, return it to the borrower immediately, record the return, and report the failure to the Principal Officer the same day.

10. IF THE BORROWER PAYS AFTER THE WRITE-OFF

- 10.1** Under options A and B the debt still exists, so a payment may be accepted. Issue a receipt and record the payment in the ledger against the same loan. The app allows a written-off loan to be reopened.
- 10.2** A payment is in law an admission of the debt. Record the date, because it restarts the three-year period in clause 7. Update clause 7 of this notice.
- 10.3** If the balance is then paid in full, issue a paid-up letter free of charge and update the credit bureau record.
- 10.4** Under option C the debt no longer exists. Do not demand or accept payment for it. If money is received in error, refund it and record the refund.

11. HOW THIS IS RECORDED IN THE LEDGER APP

- 11.1** Open the loan in the ledger app and choose **Write off**.

- 11.2** The app has only one written-off status and no free note field on a loan, so it cannot record whether option A, B or C was chosen. **This signed notice is the only record of that decision.** File it with the loan and do not rely on the app for it. If a note field is added to the app later, record the option letter there as well.
- 11.3** The app then removes the balance from *Outstanding* and from the cash float, and shows it under *Written off*. Loan money never recovered is treated as a realised loss.
- 11.4** **Do not delete the loan or any payment.** The history is the evidence, and it will be needed if the borrower pays later, if the account is queried, or if NAMFISA inspects.
- 11.5** The app allows a written-off loan to be reopened if recovery resumes under option A or B.
- 11.6** Take a fresh backup after recording the write-off.

12. TAX AND ACCOUNTING

- 12.1** Send a copy of this notice to **[ACCOUNTANT OR BOOKKEEPER NAME]** for the accounting entry.
- 12.2** Do not assume the amount is deductible for tax. Whether a bad debt may be claimed as a deduction is a question for the accountant and NAMRA. This notice is the supporting record for whatever treatment is adopted.

13. RECORD KEEPING

- 13.1** Internal policy: retain the complete loan file — the signed loan agreement, the pre-agreement quotation, the affordability assessment, the ID copy, payslip and bank statements, all payment records, any signed extension addenda or acknowledgement of debt, all reminders and demands with proof of delivery, and this notice — for at least five years after the later of the write-off date, the prescription date in clause 7, and the date of the last payment.
- 13.2** That five-year period is our own policy. It is not quoted from a statute. The retention period required by the NAMFISA microlending standards must be confirmed, and this policy adjusted if the required period is longer.

14. AUTHORISATION

By signing below I confirm that the recovery steps recorded in clause 4 actually took place, that the figures in clause 3 come from the ledger and have been checked, that no prohibited collection method was used on this account, and that the option ticked in clause 6 is the decision taken.

Prepared by	
Signature	
Full name	[STAFF FULL NAME]
Capacity	[CAPACITY]
Date	[DD/MM/YYYY]
Place	[PLACE]

Approved by the Principal Officer	
Signature	
Full name	[PRINCIPAL OFFICER NAME]
Date	[DD/MM/YYYY]
Place	[PLACE]
Option authorised	[A, B OR C]

ANNEXURE A — DEBT CANCELLATION (WAIVER AND RELEASE) LETTER

Use this page only if option C in clause 6 was ticked and the Principal Officer authorised it. This is the only page of this document that goes to the borrower. Print it on the QuickServe letterhead as a separate letter.

Dear [BORROWER FULL NAME]

Cancellation of the balance on loan [LOAN REFERENCE]

We have decided to cancel the balance owing on this loan.

As at [DD/MM/YYYY] the balance on your account was N\$ [AMOUNT]. We now cancel that balance in full. You do not have to pay it. We will not claim it from you, we will not hand it to a debt collector or an attorney, and we will not sue you for it. This cancellation is final, and we cannot reverse it.

We have told [BUREAU NAME] on [DD/MM/YYYY] that this debt was cancelled by us. Please note that a cancelled debt is not the same as a debt paid in full. Your credit record will show it as cancelled, not as settled, and the record of this loan will stay on your credit profile for the period the bureau applies.

Any debit order for this account has been cancelled with effect from [DD/MM/YYYY]. No further debits will be presented.

We hold no original document, bank card or PIN of yours, and never did.

If you have any question about this letter, contact us on +264 81 264 6222 or [EMAIL ADDRESS].

Yours faithfully

For the Lender	
Signature	
Full name	[PRINCIPAL OFFICER NAME]
Capacity	[CAPACITY]
For	Quickserve Financial Services CC, trading as QuickServe Cashloan
Date	[DD/MM/YYYY]
Place	[PLACE]

Delivery record — for our file

Item	Detail
Delivered by	[HAND / WHATSAPP / EMAIL / POST]
Delivered to	[ADDRESS, NUMBER OR EMAIL USED]
Date and time sent	[DD/MM/YYYY] , [TIME]
Sent by	[STAFF FULL NAME]
Proof kept	[SCREENSHOT / SIGNED RECEIPT / POST SLIP REFERENCE]